Robert Wood, Margaret Spindelman, Katherine Conkling Thompson, Judith Canepa, individual parties

Statement of Opposition

VIA Electronic Mail

June 2, 2021

Honorable Michelle Phillips, Secretary
The New York State Public Service Commission
Three Empire State Plaza
Albany, NY 12223-1350

CC:
Active Parties in Cases 19-G-0309 and 19-G-0310
Hon. James Costello & Hon. Maureen Leary
Administrative Law Judges

RE: Case 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

Case 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Keystone East Gas Corp. d/b/a National Grid NY for Gas Service.

Statement of Opposition by Robert Wood, Margot Spindelman, Katherine Conkling Thompson and Judith Canepa, individual parties

To Secretary Phillips and Judges Costello and Leary of the DPS,

We, the undersigned, write to express our unqualified opposition to the joint proposal filed by National Grid and the New York State Department of Public Service on June 2, 2021. We oppose it on the grounds that it represents a failure of corporate and regulatory entities to use their considerable powers to steer New York's energy systems towards the more sustainable and equitable model that our dire ecological and economic moment demands. We also oppose it on the grounds that, while it is the product of a proceeding commenced, like so many others under the Commission's purview, in the name of democratic stakeholder participation, it does not adequately reflect the input of a majority of those stakeholders and was largely negotiated in bad faith. We implore the PSC to reject this proposal on all of these counts.

We joined these rate proceedings in hopes that, as parties with deep and longstanding relationships to the communities of ratepayers we both belong to and represent, our voices would be heard. These ratepayers are, after all, the ones who stand to bear the brunt of new infrastructure and the rate increases that would likely accompany it. Yet many of us did this only after realizing that our voices risked not being heard in another PSC proceeding, the denial of service investigation (Case 19-G-0678), for which we initially had similar hopes. Our opposition to the joint proposal cannot be adequately understood apart from that proceeding, and so we turn to it here.

Broken Promises and the Denial of Service Investigation

As nearly every page of the Order Adopting and Approving Settlement confirms, the denial of service investigation was framed as a means of addressing the grievances of ratepayers affected by National Grid's gas moratorium and/or shut out of the decision-making process about infrastructure more generally. Regardless of how it was understood internally to PSC or National Grid staff, it was offered to the public as being for the public, who in turn took it on good faith that its opinions mattered this time and would finally be heard.

The PSC and the Companies made gestures towards this end. Fines were issued, forcing the Companies to compensate affected members of the public and contribute considerable sums to clean energy and energy efficiency—solutions long favored by ratepayers. The Natural Gas Long-Term Capacity Report[1] was written to inform the public on possible long-term infrastructure solutions. Virtual public hearings and opportunities for public comment were provided as a forum for debating those solutions. And the Long-Term Capacity Supplemental Report (LTCSR)[2] was provided as a way to tie public feedback on possible solutions into a final assessment of options. All of this, we believed, was meant to democratically involve ratepayers where they had not been involved before.

That those ratepayers were desperate to be involved was made obvious by the fact that, despite much of this happening during the distraction-filled first weeks of the worst public health crisis in a century, they showed up anyway—and in droves. Over 900 people attended the virtual hearings. Many more contributed over 9,000 public comments. The Energy Futures Group submitted a report casting doubt on National Grid's claim for the need for more gas[3] based upon the disparity between National Grid's numbers and those of the U.S. Energy Information Administration's Annual Energy Outlook for 2020[4],

[1] National Grid, Natural Gas Long-Term Capacity Report for Brooklyn, Queens, Staten Island and Long Island (Feb. 2020)

[2] National Grid, Natural Gas Long-Term Capacity Supplemental Report for Brooklyn, Queens, Staten Island and Long Island (May 2020)

[3] Energy Futures Group, Critical Elements in Short Supply: Assessing the Shortcomings of National Grid's Long-Term Capacity Report (April 2020)

[4] U.S. Energy Information Administration, Annual Energy Outlook 2020 with projections to 2050, Table. Table 13. Natural Gas Supply, Disposition, and Prices (January 2020)

reducing the projection of need by nearly 85%, showing better ways to meet demand, and pointing out the inconsistency of National Grid's plan with the New York State Climate Leadership and Community Protection Act[5]. Overwhelmingly, these comments and testimonies opposed the construction of any new fossil fuel infrastructure whatsoever. It was a remarkable showing of opposition during extremely trying times.

All of this was to come to a conclusion, if the PSC was to be believed, in June 2020, when the state was to arrive at a decision on long-term capacity options. As the Order Adopting and Approving Settlement put it,

National Grid agrees that a long-term option or options should be identified and agreed to by the State of New York by June 2020 to allow a safe adequate construction and transition period and have the long-term option or options in place and functioning in approximately two years.

The public was given no reason to believe that this deadline wouldn't be honored, nor that, given the public-directed nature of the case, it wouldn't at least be notified if the deadline couldn't be met. But the public received no such notice, and June 2020 came and went without a word from the PSC. What did come to the public's attention was that National Grid had resumed confidential settlement negotiations in the rate proceeding, raising suspicions that discussions related to lucrative infrastructure might be continuing in that far less transparent and more explicitly revenue-focused domain. Were this to be true, it would mean that the thousands of comments filed by ratepayers in the other proceeding would be left behind there, preventing a significant record of opposition from being included on the record of an essentially closed-door case with little to no public or press scrutiny. It is this fear that prompted most of us to join the current proceeding with the intention of continuing to represent the thousands whose voices had been stranded in the other case.

In public communications with stakeholders, Staff made it clear enough that it was indeed their intention to continue discussion of long-term infrastructure in the rate proceeding, effectively blurring the line between the two cases. It is thus a problem of the DPS's own making that, from the perspective of the undersigned, the current rate case has become a matter not only of the potential costs imposed on ratepayers related to new infrastructure but also 1) a matter of that infrastructure itself and 2) what is still owed to the public in the other proceeding. It is for this reason that complaints related to the insufficient handling of Case 19-G-0678 cannot and must not be dismissed as irrelevant to the case at hand. It is also for this reason that scrutiny of the joint proposal can only be considered fair and complete when considering this larger narrative of what can only be called ratepayer betrayal.

A Dishonest Public Proceeding

Yet this matter is not as simple as a promising proceeding being hijacked by a less promising one. As we would eventually learn, Case 19-G-0678 was itself a largely theatrical endeavor from the start.
The public had been led to believe that the options presented in the Long-Term Capacity Supplemental Report were all truly contingent on the final decision to be given by Staff in June 2020. Yet as capex reports reveal, National Grid had already spent nearly $1 million on Greenpoint vaporizers 13 & 14, for example, by the time the LTCSR came out, and would go on to spend $12.5 million on them in 2020. It did not help matters that the report was ambiguous as to whether the final phases of the MRI pipeline, which were also already underway, were intended for overall gas system reliability or to supply a key component in the Companies' distributed-infrastructure alternative to the Williams NESE pipeline, which, like NESE, the public had also vociferously opposed.

[5] New York State Senate Bill S6599 (June 2019)

In short, construction on projects that were presented to the public as contingent on NESE being cancelled had already begun well before the DEC rejected the NESE permits. (The independent monitor, in his eighth quarterly report[6], confirms that Vaporizers 13 & 14 were planned before NESE was cancelled). Thus, it wasn't so much that no decision was made by June in Case 19-G-0678 as that it had been made long before then but was kept from the public. Case 19-G-0678 was largely a sham.

Negotiating in Bad Faith

This did not set a good precedent for confidential settlement negotiations in the rate proceeding. The Companies are not in the habit of building infrastructure if they don't expect to be allowed to ultimately recover its costs from ratepayers, and much of the construction on this infrastructure was not only widely opposed but had begun behind ratepayers' backs. Moreover, the precedent of building millions of dollars in widely opposed infrastructure before it has rate recovery approval is an egregious one that speaks as much to the Companies' fiduciary recklessness as it does to their arrogance. As of the release date of the joint proposal, the Companies had completed at least $120 million of construction on widely opposed infrastructure that did not yet have a cost recovery plan. This includes, among other things, the $12.5 million spent on LNG Vaporizers 13 & 14, which, as the independent monitor affirms, are in jeopardy of not even receiving the necessary permits required for their operation. It also includes tens of millions for the MRI pipeline, a project that is so widely loathed that activists have chained themselves to it on three occasions to stop construction.

Staff clearly did nothing during confidential settlement negotiations to stop the Companies from forging ahead with these projects, despite their obvious precarity, despite the overwhelming public opposition, and despite the fact that the Companies did not yet have permission to bill them to ratepayers. Given the circumstances described above, we should not need to explain why this only furthered our suspicion that the process of approving or rejecting infrastructure in supposedly democratic forums was a fully rigged one. Get it in the ground, the Companies seem to be saying, and it will be too late for Staff to reject it. Pretend that we can't do anything to stop construction, Staff seems to be saying, and we'll have cover for approving what would otherwise be a stranded asset. All of this, of course, at a time when we shouldn't be building any new fossil fuel infrastructure at all.

We are aware of the Demand Capacity Surcharge Mechanism, which establishes certain criteria that must be met before certain projects can be built or charged to ratepayers. Yet precisely because of the inaction on the part of Staff described above, coupled with the excessive time it has taken to come to this joint proposal, the Companies have been able to fully complete several projects that should have been included, or included more fully, in the DCSM purview—projects like Phase 4 of the MRI pipeline (especially given the fierce and widespread opposition to it) and various CNG projects. Yet as the joint proposal stands, ratepayers would be fully charged for the MRI pipeline, and very likely charged for the CNG as well.

While certain metrics must be hit for the latter to happen, we in no way believe that there will be an honest accounting of those metrics. The Companies have squandered too much of the public's trust for it to be otherwise. Moreover, we cannot be expected to trust that the "independent consultant" hired to assess the need of other projects within the DCSM will truly be independent, given the likelihood that the consultant will be a friend to the gas industry with inadequate experience assessing the possibilities of electrification and demand-side solutions. We also cannot expect the consultant to be immune to being influenced by the Companies own narrative about the need for more gas, one that has been thoroughly discredited by no fewer than four reports by independent experts. Lastly, we are all too familiar with the Companies' past attempts to use "outside experts" to support its agenda in other ways, as with the report

[6] National Grid Monitorship, Eighth Quarterly Report (March 2021)

they commissioned from M.J. Bradley[7] asserting the supposed climate benefits of the Williams NESE pipeline using both outdated and manipulatively framed statistics on methane.

It was because of the continued construction on widely opposed infrastructure during confidential settlement negotiations—infrastructure that did not yet have rate recovery approval— coupled with these inadequate mechanisms to insure that ratepayers do not end up paying for it, that prompted us to walk out of those negotiations, which, much like Case 19-G-0678, were clearly happening in bad faith. And as if it weren't clear enough that the first case had been merely a front to provide cover for the bad decisions made in the second, the PSC also made the mind-boggling decision to further erode the public's faith in Case 19-G-0678 by allowing fine money to essentially be reappropriated from it to serve the Companies' needs in a different case. Not only does this reappropriation absolve the Companies of having to spend $20 million towards clean energy, which was arguably the most important component of the settlement fines and yet the biggest threat to the Companies' business model; it also allows fine money to be treated as a deferred cost, therefore completely defeating the punitive purpose of a fine. But the most repugnant aspect of this is that PSC has allowed the Companies to frame this reappropriation of $20 million as necessary to avoid rate increases on customers during Year 1 of the rate plan—at a time when they have recklessly spent over $120 million on unneeded and unwanted infrastructure that, in large part, has no cost recovery plan and that, in the case of the LNG vaporizers, might not even be built. If it wasn't clear before where the state's priorities lie, it certainly is now.

Enabling Profit-Fueled Climate Denialism

While we are encouraged that the Companies' have at least gestured in a positive direction—ending the marketing of gas, coupling LPP replacement with studies of geothermal feasibility, referring customers to Con Edison for electrification, studying the effects of climate policy on depreciation, considering Scope 3 emissions in its climate studies, and other things—we remind the Commission of the almost comedic inadequacy of these concessions in the context of what is truly needed to address our climate problem: ending the use of gas.

This sad incrementalism is clearly due to National Grid's corporate mandate to maintain profits and dividends for a privileged few at the expense of doing what is just and right for the many. And yet, as a gas-only provider in the Downstate region, operating at a time when all experts agree that we must electrify and do so as quickly as possible, National Grid is in trouble. Its assets risk becoming stranded due to electrification, and it is clearly betting on hydrogen and RNG as future saviors that will give new life to its obsolete infrastructure while keeping an outdated business model on life support, and all while sustaining financial gains for its investors.

Yet the recent report on carbon neutrality, co-commissioned by the City of New York and the utilities themselves[8], is a glaring testament to the denialism and desperation at the heart of this profit-driven gamble. While placing hydrogen, biogenic RNG, and synthetic RNG at the center of all three possible pathways to carbon neutrality, the report nonetheless—and on multiple occasions—emphasizes the extreme unlikelihood of these technological solutions ever coming to fruition, not only because of political opposition but because of excessive costs. To be available, they would require, among other things, commodity costs dropping precipitously, massive new pipelines to carry RNG into the city, and invaluable renewable electricity being diverted into the production of costly "green hydrogen" for no other reason than to prevent the assets of stubborn billion-dollar utilities from becoming stranded. All of

[7] MJB&A, Life Cycle Analysis of the Northeast Supply Enhancement Project (June 2019)

[8] NYC Mayor's Office of Sustainability, Con Edison and National Grid, Pathways to Carbon-Neutral NYC: Modernize, Reimagine, Reach (April 2021)

this, in turn, would likely force low-income gas customers to shoulder more and more of the costs of maintaining increasingly obsolete infrastructure as affluent customers abandon it to electrify.

It is unconscionable that a state regulator tasked with protecting ratepayers would back a long-term plan—rooted in such contingencies. The recklessness of National Grid in the face of not only climate change but the basic requirement to protect its customers cannot be overstated. One need only flip through the reports filed by the independent monitor in Case 19-G-0678 to understand the way that their extreme corporate arrogance, rooted in a belief that the regulatory state will always err on the side of capital, has translated into an extreme lack of preparedness to deal with changes to our energy economy that have been a decade in the making.

Because electrification threatens the Companies' customer base and assets and hydrogen and other "green" fuels are fantasies for some distant future, they have chosen to do little in the present but stay the backwards course—one that has no contingency plan because such a thing could never be profitable. Nothing encapsulates that shameful position better than the words of a National Grid executive, quoted in the monitor's eighth quarterly report: "If Iroquois ExC [a crucial part of the Companies" long-term supply plan] doesn't go through, I don't have a solution to that. And I don't know that I'm going to come up with one."

In the absence of adequate solutions proposed by the Companies, it falls to you, the PSC, to come up with them instead. Unless those solutions involve a concrete plan to reduce and phase out gas use, as was accomplished in the NYSEG/RG&E case, then you, too, will be complicit in climate denialism by way of supporting incrementalism. The solution will not be found in an even greater proliferation of new proceedings and cases, kept isolated from one another when it is convenient and brought together when it is not, that confuse bureaucratic can-kicking for bold action. And it certainly won't be found in joint proposals that would result in actually increasing the supply of gas to New York City at a time when we should have gotten off of it yesterday.

We are tired of all of this. We are tired of technocratic fixes, fancy metrics, and outside experts substituting for simply saying no to more fracked gas. We are tired of staff condescendingly casting aside tens of thousands of public comments and records of overwhelming political opposition as though they were merely the outpourings of naive people who don't understand how the world works. We are tired of claims about gas demand made by a multi-billion dollar company whose gas assets are at stake being privileged over the opinions of numerous well-respected independent experts. We are tired of projects being artificially segmented in these and other proceedings in ways that obscure their true impacts and implications. In short, we are tired of the state getting in the way of a more democratically informed energy system that truly represents the will of ratepayers.

Our demands are simple: we want a plan to get off gas and we want a commitment to build no new fossil fuel infrastructure. And we implore you to reject this joint proposal on the grounds that it offers neither.

Sincerely,

Robert Wood, individual party
Margot Spindelman, individual party
Katherine Conkling Thompson, individual party
Judith Canepa, individual party